

TASTYBITES PRODUCT PRICING & PROFITABILITY ANALYSIS

01. Executive Summary

TastyBites is a food delivery platform operating across multiple cities and offering a wide range of food and beverage products. While the company has experienced strong sales growth, management has observed that not all products contribute equally to profitability. Some products generate high revenue but deliver low profit margins, while others contribute significantly to overall profit despite lower sales volumes.

02. Business Problem

The company currently lacks visibility into which products and categories are driving profitability. Excessive discounting and inconsistent pricing strategies may be reducing profit margins without generating proportional increases in sales.

Management requires a detailed analysis to identify high-profit and low-profit products, evaluate the impact of discounts, and develop pricing strategies that improve overall profitability while maintaining customer satisfaction.

03. Business Objectives

- Identify products and categories generating the highest revenue and profit.
- Analyze the impact of discounts on profitability.
- Identify products with high sales but low profit contribution.
- Evaluate opportunities for price optimization without significantly impacting sales.
- Recommend promotions, bundling strategies, and pricing improvements to increase profitability.

The analysis covers two years of order data from January 2024 to December 2025. The study focuses on product sales, discounts, revenue, profit, and customer purchasing behavior to identify opportunities for improving business performance

04. Dataset Overview

The dataset contains customer order transactions from TastyBites collected over a two-year period from January 2024 to December 2025. Each record represents an individual order containing product details, pricing information, discounts, customer type, and payment method.

The dataset was used to evaluate product-level revenue, profitability, discount impact, and sales performance. Additional business metrics were created to support pricing and profitability analysis.

Data Constraints & Assumptions

- Only two years of historical data were available for analysis.
- Discounts were restricted to a maximum of 25% as per company policy.
- Profit was calculated as Revenue minus Product Cost.
- Delivery and operational costs were excluded from profitability calculations.
- Customers are assumed to be sensitive to price changes greater than 10%.
- Analysis focuses only on product sales and pricing performance.

05. Overall Business Performance

KPI SUMMARY

4.35M Total Revenue	1.88M Total Profit	21K Units Sold
869.19 Average Order Value	371.79K Discount Impact	43.30% Overall Profit Margin

Revenue Performance

TastyBites generated approximately **₹4.35 million in total revenue across 5,000 customer orders during the analysis period**. This indicates strong product demand and healthy sales activity across multiple product categories.

Profitability Performance

The company generated approximately **₹1.88 million in profit, resulting in an overall profit margin of 43.30%**. This demonstrates that a significant portion of sales revenue is converted into profit, indicating effective pricing and cost management.

Sales Volume

More than 21,000 units were sold across all product categories.

The high sales volume provides sufficient data to evaluate product-level profitability and pricing opportunities.

Customer Spending Behavior

The **Average Order Value (AOV) was ₹869.19, suggesting that customers typically purchase multiple items per transaction**. This creates opportunities for product bundling and upselling strategies.

Discount Impact

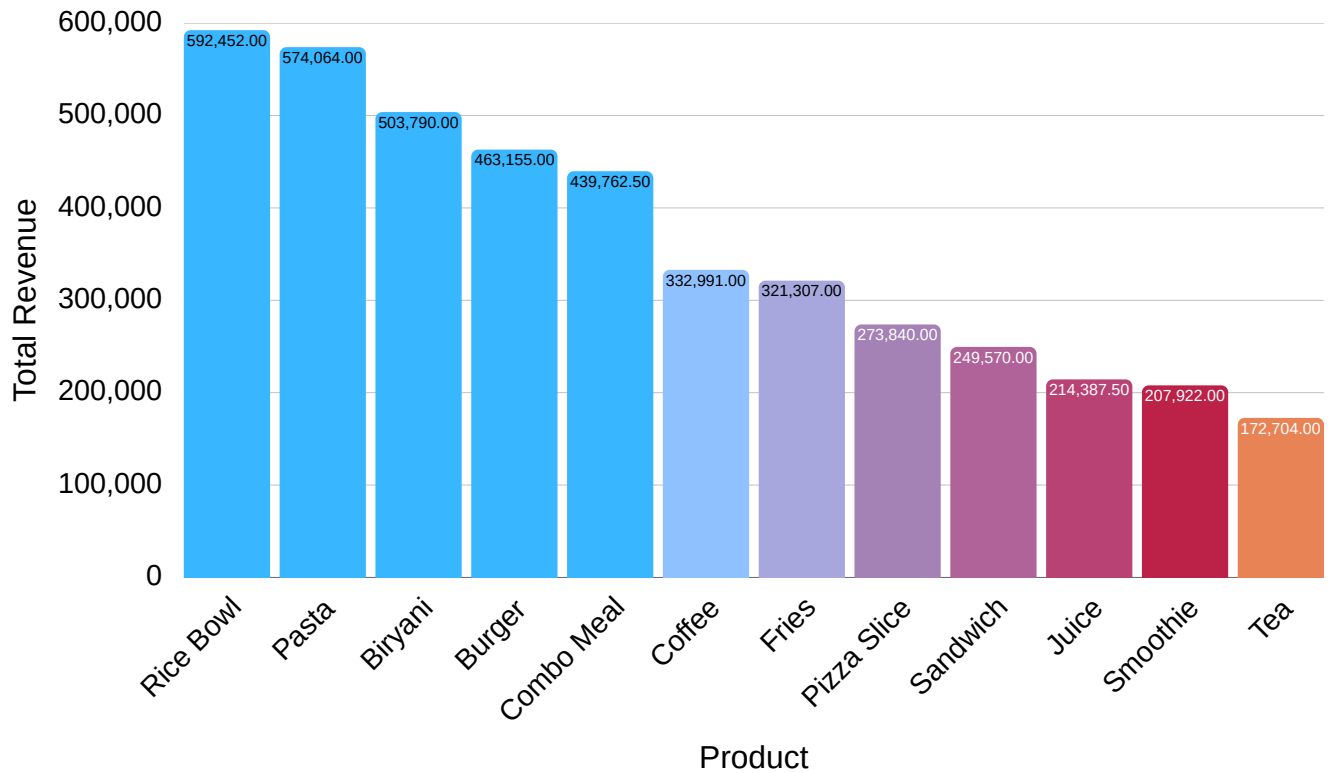
Discounts resulted in approximately

While promotions help drive sales, excessive discounting may reduce overall profitability if not managed strategically.

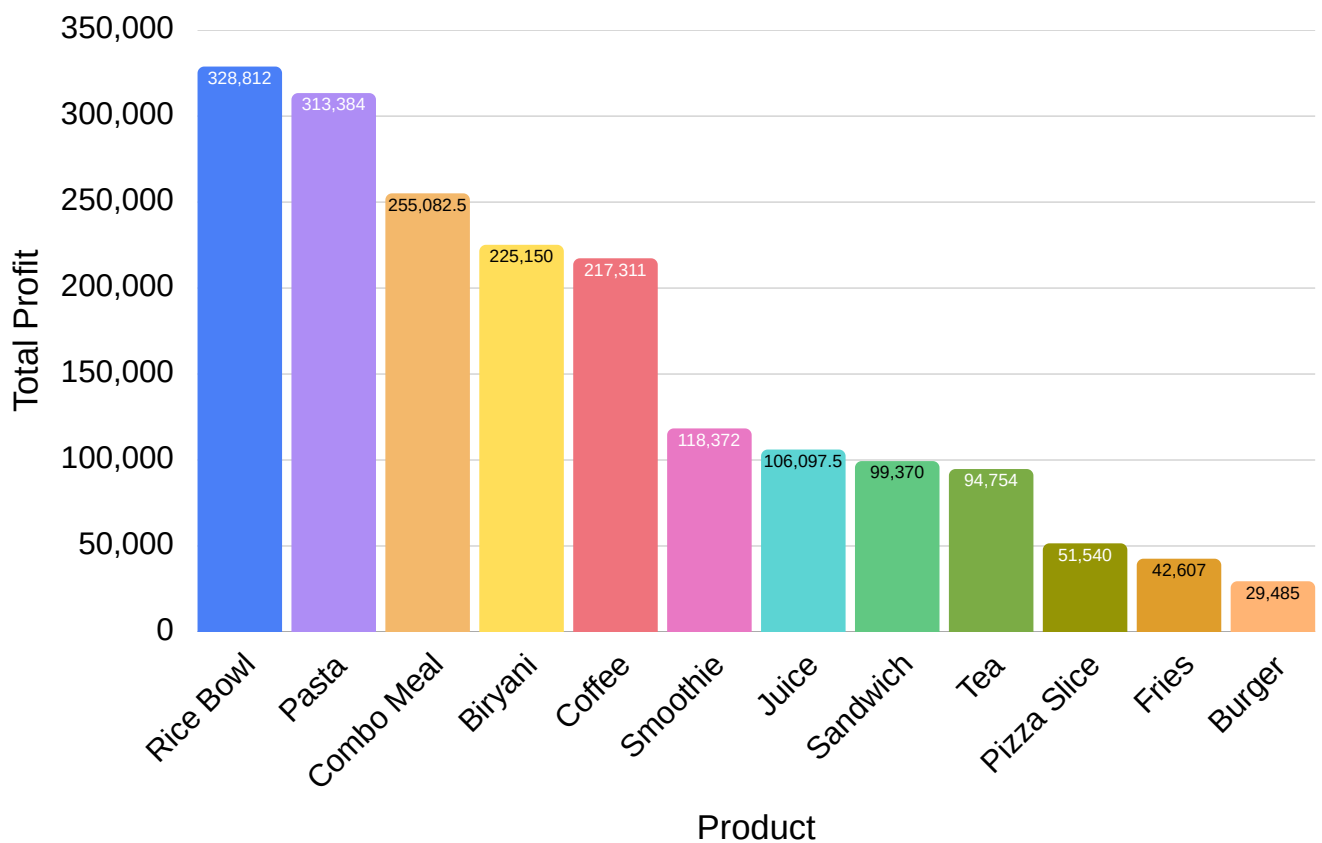
TastyBites demonstrates strong revenue generation and healthy profit margins. However, discounting accounts for a significant revenue reduction of ₹371.79K. Optimizing discount strategies and focusing on high-margin products can further improve profitability without negatively impacting customer demand

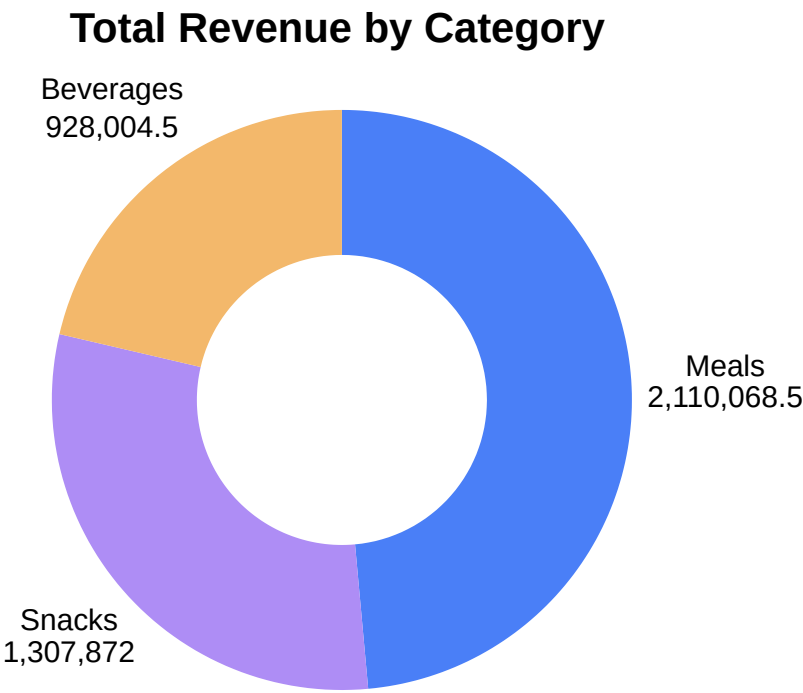
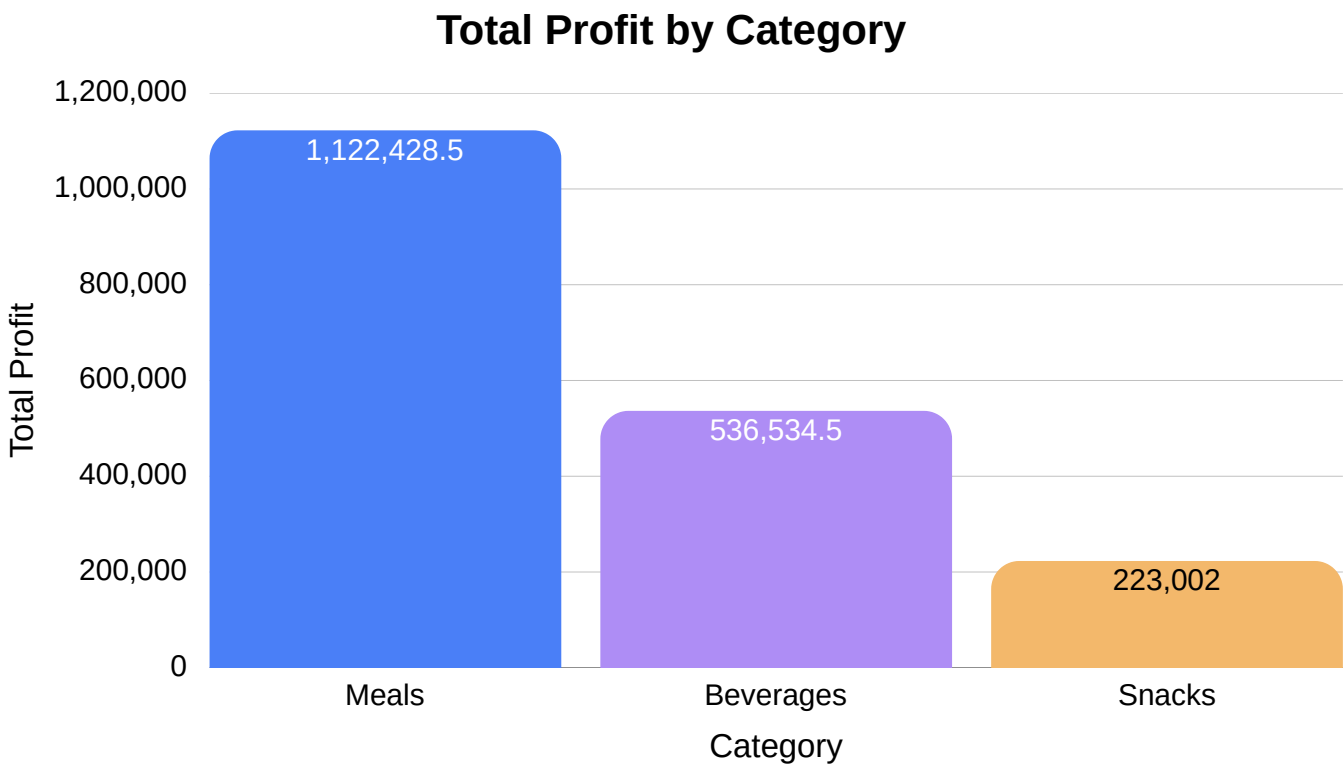
06. Revenue & Profit Analysis

Total Revenue by Product



Total Profit by Product





Product-Level Revenue Analysis

Rice Bowl generated the highest revenue at approximately ₹0.59 million, followed closely by Pasta at ₹0.57 million and Biryani at ₹0.50 million. These products represent the strongest revenue drivers within the product portfolio.

Burger and Combo Meal also generated substantial revenue, indicating strong customer demand across meal-based products.

Product-Level Profit Analysis

Rice Bowl generated the highest profit contribution at approximately ₹0.33 million, followed by Pasta at ₹0.31 million and Combo Meal at ₹0.26 million.

In contrast, Burger generated only ₹0.03 million in profit despite producing one of the highest revenue figures. This indicates a significant profitability challenge caused by lower margins and discount impact.

Category-Level Performance

Meals emerged as the strongest category, generating approximately ₹2.11 million in revenue and ₹1.12 million in profit. Snacks generated ₹1.31 million in revenue but contributed only ₹0.22 million in profit, highlighting weaker profitability.

Beverages generated ₹0.93 million in revenue and approximately ₹0.54 million in profit, demonstrating strong margin performance relative to sales volume.

Business Question Answer

Which products and categories generate the highest revenue and profit?

Highest Revenue Products

- Rice Bowl (₹0.59M)
- Pasta (₹0.57M)
- Biryani (₹0.50M)

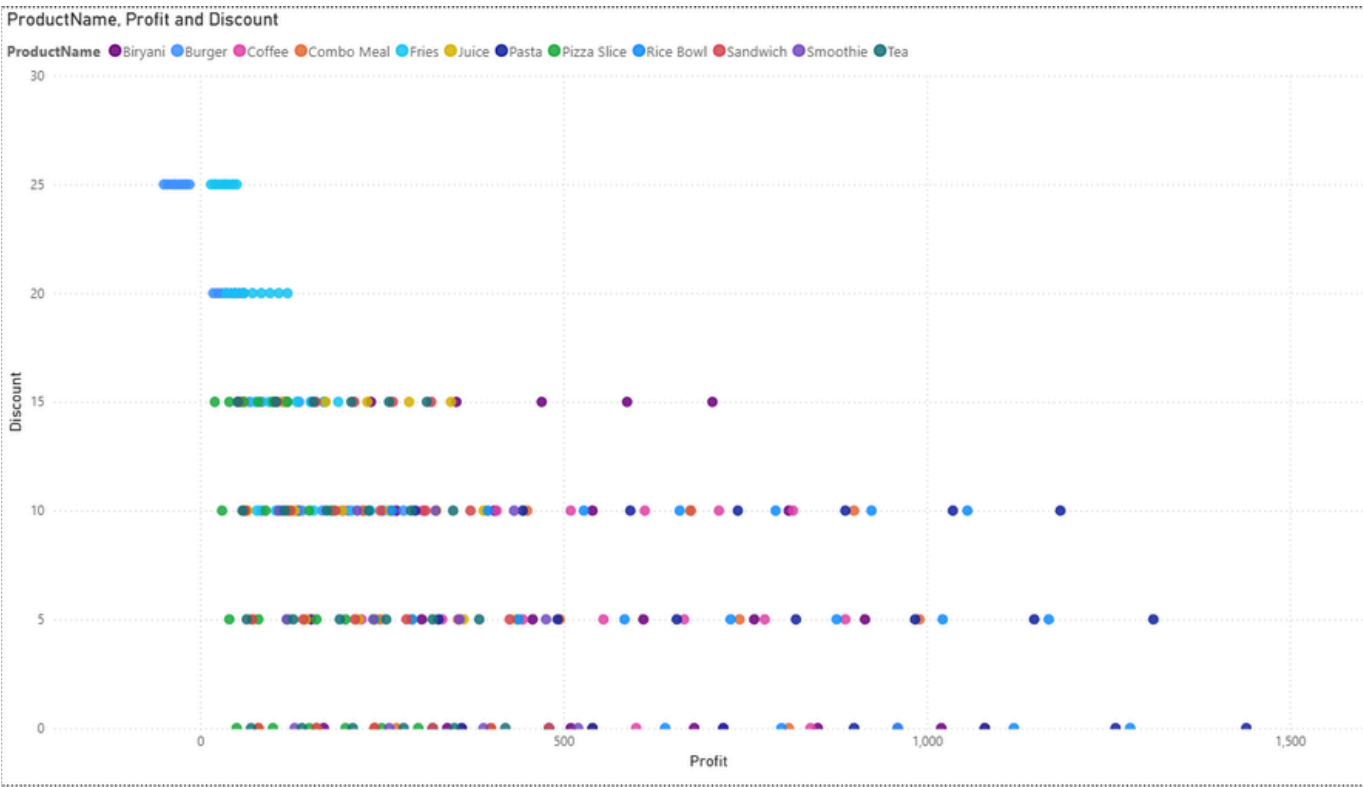
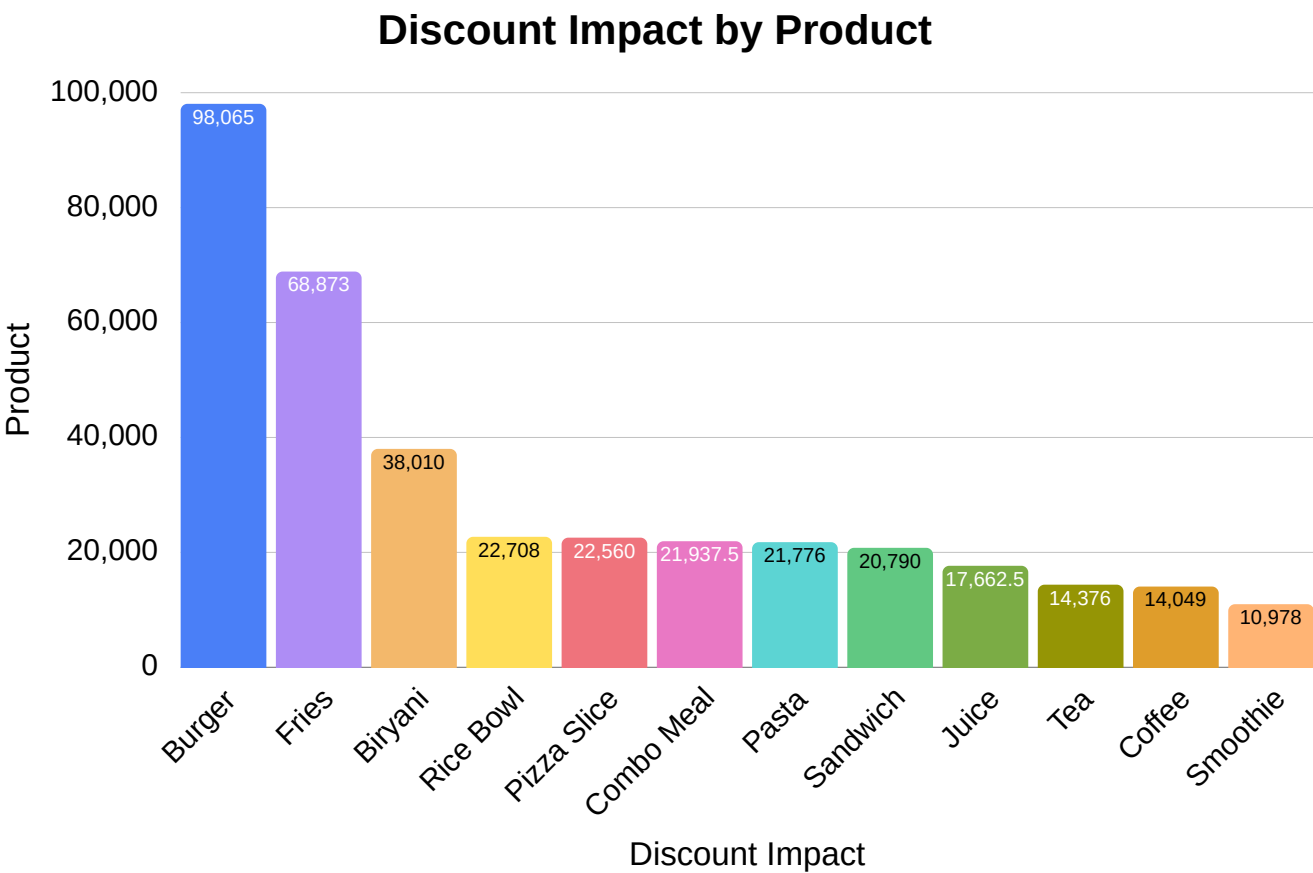
Highest Profit Products

- Rice Bowl (₹0.33M)
- Pasta (₹0.31M)
- Combo Meal (₹0.26M)

Best Performing Category

- Meals generated both the highest revenue (₹2.11M) and highest profit (₹1.12M).

07: Discount Impact Analysis



Product-Level Discount Analysis

Burger experienced the highest discount impact at approximately ₹98K, followed by Fries at ₹69K and Biryani at ₹38K. These products account for a significant portion of total discount-related revenue reduction.

In contrast, Smoothie, Coffee, and Tea recorded the lowest discount impact, suggesting stronger profitability with limited reliance on promotional pricing.

Profit vs Discount Relationship

The scatter plot demonstrates that products receiving higher discounts do not necessarily generate higher profits. Several products with substantial discount levels continue to produce relatively low profit contributions.

Products such as Rice Bowl and Pasta generate strong profits despite operating with lower discount levels, indicating that product value and pricing strength are more important profitability drivers than aggressive discounting.

Business Question Answer

How do discounts affect profitability at the product and category level?

The analysis shows a negative relationship between excessive discounting and profitability.

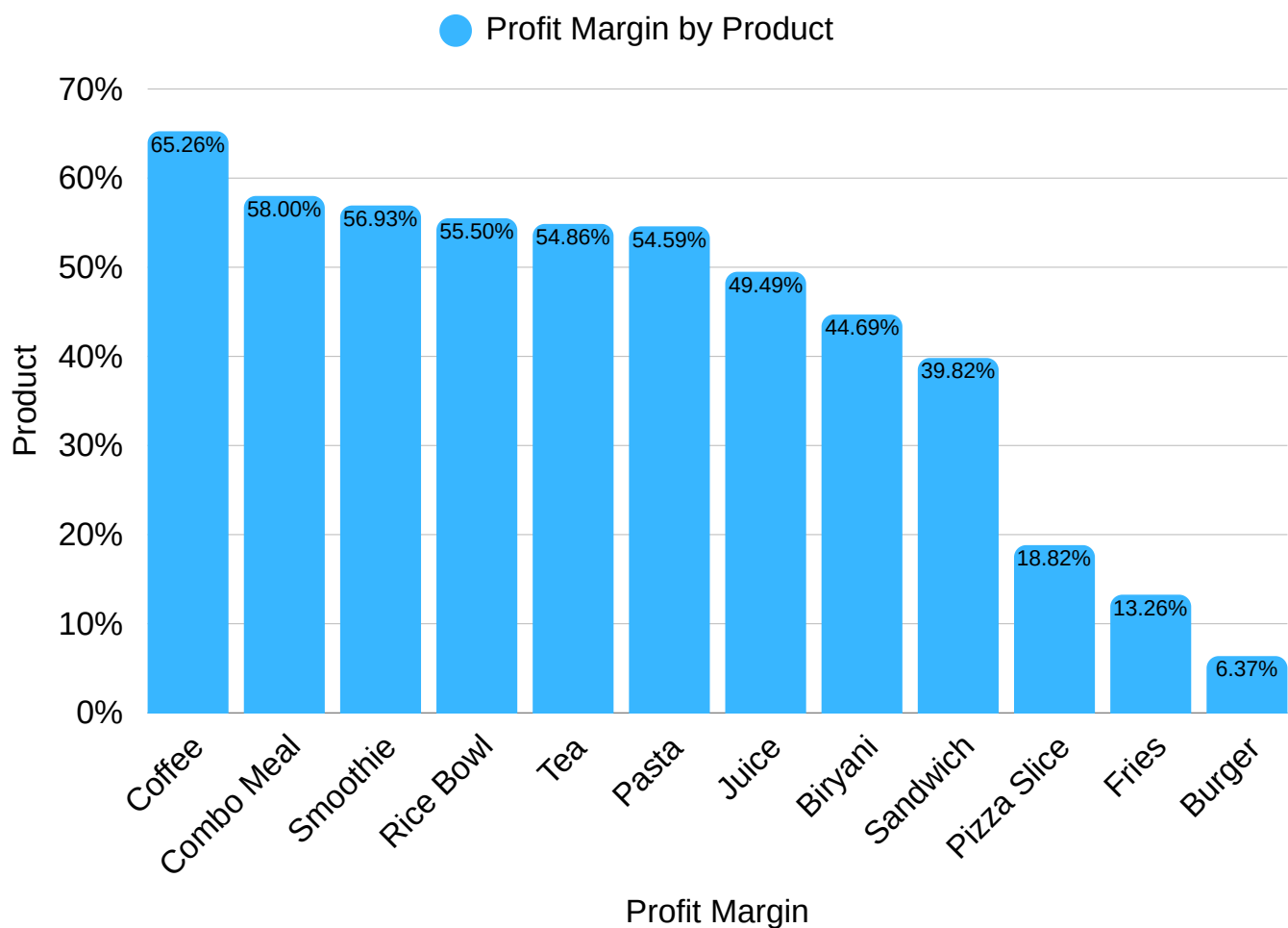
- Burger and Fries receive the highest discounts but generate the lowest profits.
- Rice Bowl and Pasta maintain high profitability while operating with significantly lower discount dependency.
- Discounts increase sales volume but do not always improve overall profit.

Conclusion

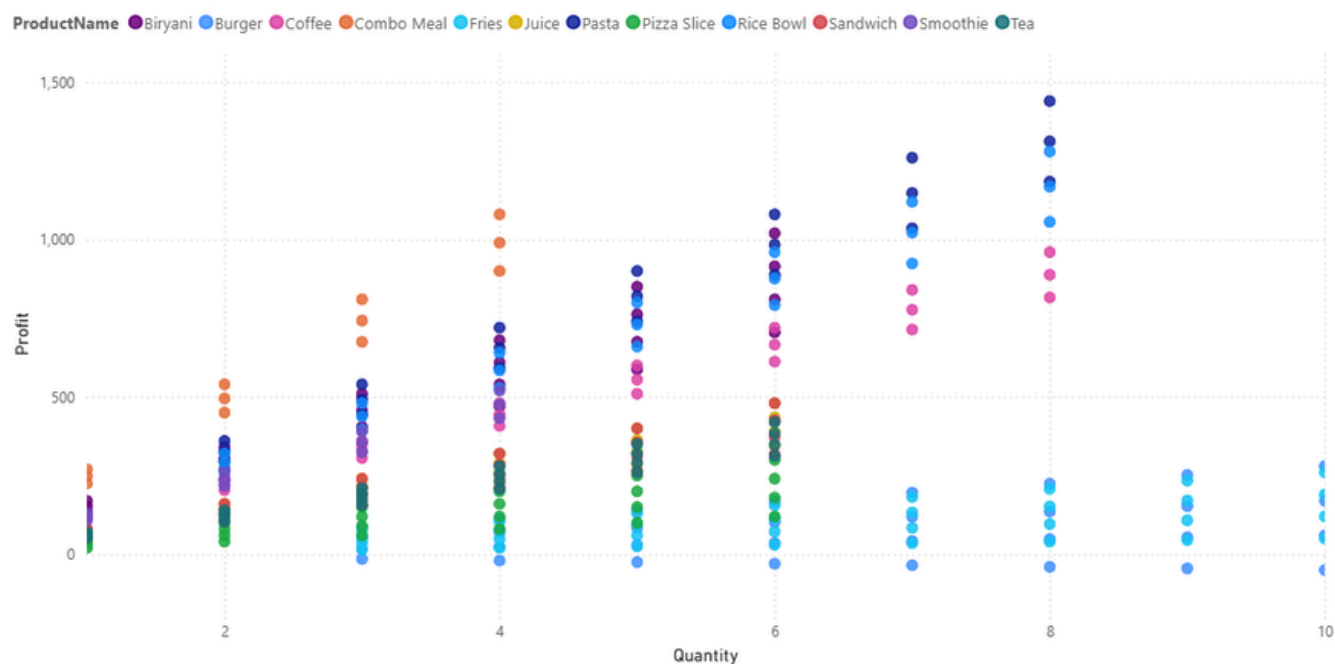
Excessive discounting reduces profitability and should be applied selectively. High-performing products such as Rice Bowl and Pasta demonstrate that strong profit can be achieved without aggressive promotional pricing.

08: Product Profitability Analysis

Profit Margin by Product



ProductName, Quantity and Profit



Sales Volume vs Profit Analysis

The scatter plot highlights the relationship between units sold and profit generation. Products such as Rice Bowl, Pasta, and Combo Meal generate strong profit levels while maintaining healthy sales volumes.

Conversely, Burger and Fries achieve strong sales activity but contribute significantly lower profit compared to other products. This suggests that high demand alone does not guarantee profitability.

Profit Margin Analysis

Coffee recorded the highest profit margin at approximately 65%, followed by Combo Meal (58%), Smoothie (57%), Rice Bowl (55%), Tea (55%), and Pasta (55%).

Burger recorded the lowest profit margin at approximately 6%, followed by Fries (13%) and Pizza Slice (19%).

These findings indicate that certain products may require pricing adjustments or discount optimization to improve profitability.

High Sales vs Low Profit Products

Burger

- Revenue: ₹0.46M
- Profit: ₹0.03M
- Margin: 6%

Finding:

Burger is one of the highest-selling products but contributes the lowest profit.

Fries

- Revenue: ₹0.32M
- Profit: ₹0.04M
- Margin: 13%

Finding:

Sales volume is strong, but profitability remains weak due to discounting and cost structure.

Business Question Answer #3

Are there products that sell a lot but contribute very little profit?

Answer: Yes.

The analysis identified several products with strong sales performance but weak profitability:

- Burger
- Fries
- Pizza Slice

These products generate significant revenue but contribute relatively little profit due to low margins and higher discount dependency.

Conclusion

High sales volume does not always translate into strong profitability. Burger and Fries are clear examples of products that require pricing or promotional optimization to improve profit contribution.

<i>Category</i>	<i>Products</i>
High Sales + High Profit	Rice Bowl, Pasta, Combo Meal
High Sales + Low Profit	Burger, Fries
Low Sales + High Profit	Coffee, Smoothie
Moderate Sales + Moderate Profit	Biryani, Juice, Sandwich

09: Pricing Optimization Analysis

<i>Product</i>	<i>Revenue</i>	<i>Profit Margin</i>	<i>Recommendation</i>
Rice Bowl	₹0.59M	0.55	Increase price by 5–8%
Pasta	₹0.57M	0.55	Increase price by 5–8%
Coffee	₹0.33M	0.65	Increase price by 5–10%
Combo Meal	₹0.44M	0.58	Increase price by 5–8%
Smoothie	₹0.21M	0.57	Test premium pricing

One of the primary objectives of this analysis is to identify products that can support price adjustments while maintaining customer demand and overall profitability.

According to business assumptions, customers are sensitive to price increases greater than 10%. Therefore, pricing recommendations focus on moderate adjustments within the acceptable range.

The analysis indicates that products with strong demand, high profit margins, and low discount dependency are ideal candidates for controlled price optimization.

Products such as Rice Bowl, Pasta, Coffee, and Combo Meal consistently demonstrate strong revenue generation and healthy profitability. These products possess sufficient pricing power and customer demand to absorb moderate price increases without significantly affecting sales volume.

Conversely, products with weak margins and high discount dependency should not undergo immediate price increases. Instead, profitability improvements should be achieved through discount optimization and cost control measures.

Business Question Answer #4

Which products can have price adjustments without significantly affecting sales volume?

The most suitable products for controlled price increases are:

- Rice Bowl
- Pasta
- Coffee
- Combo Meal
- Smoothie

These products demonstrate strong demand, healthy profit margins, and lower dependence on discounts.

Conclusion

Moderate price increases of 5-10% on high-performing products can improve profitability without materially impacting customer demand. Products with weak margins should focus on discount optimization rather than price increases.

10: Recommendations & Strategy

QUICK WINS (0-3 MONTHS)		LONG-TERM STRATEGIES (3-12 MONTHS)	
QUICK WIN	EXPECTED IMPACT	STRATEGY	EXPECTED IMPACT
 Reduce Burger discounts from 25% to 15%	 Improve margin immediately	 Implement dynamic pricing analysis	 Better pricing decisions
 Reduce Fries promotional frequency	 Lower discount loss	 Create loyalty rewards program	 Increase repeat purchases
 Promote Coffee as an add-on item	 Increase high-margin sales	 Develop personalized offers by customer type	 Improve conversion rates
 Feature Rice Bowl and Pasta in app banners	 Increase revenue from top performers	 Expand premium product portfolio	 Increase profit margins
 Introduce Combo Meal + Beverage offers	 Increase Average Order Value (AOV)	 Build profitability monitoring dashboard	 Continuous optimization

Product Group	Recommended Action
Rice Bowl, Pasta	Promote aggressively
Coffee, Smoothie	Upsell and bundle
Combo Meal	Premium positioning
Burger, Fries	Reduce discounts
Pizza Slice	Review pricing and costs

Business Question Answer

What promotions or bundling strategies can improve profitability?

The most effective strategies include:

- 1.Reducing discounts on Burger and Fries.
- 2.Promoting high-margin products such as Coffee and Smoothie.
- 3.Bundling Rice Bowl, Pasta, and Combo Meal with beverages.
- 4.Implementing targeted pricing optimization.
- 5.Increasing Average Order Value through combo offers.

Conclusion

Profitability can be improved by focusing promotions on high-margin products, reducing unnecessary discounts, and implementing strategic bundles that increase customer spend while preserving profit margins.

11: Final Conclusion & Business Impact

Key Findings

1. **Rice Bowl** was the best-performing product, generating the highest revenue (**₹0.59M**) and highest profit (**₹0.33M**), making it the strongest contributor to business growth.
2. The **Meals category** emerged as the top-performing category, contributing **₹2.11M** in revenue and **₹1.12M** in profit, accounting for nearly half of total business revenue.
3. **Coffee, Combo Meal, Smoothie, Rice Bowl, and Pasta** achieved the highest profit margins (**55%–65%**), indicating strong pricing power and profitability.
4. **Burger and Fries** generated strong sales volumes but delivered very low profit margins (**6% and 13%**), primarily due to excessive discounting and lower profitability.
5. Discounts had a significant financial impact, resulting in approximately **₹371.79K** in **revenue loss**, with **Burger and Fries** contributing the largest share of discount-related losses.
6. The business generated a total revenue of **₹4.35M** and a total profit of **₹1.88M**, maintaining a healthy overall profit margin of **43.3%**.
7. Products such as **Rice Bowl, Pasta, Coffee, and Combo Meal** demonstrated strong demand and profitability, making them suitable candidates for moderate price increases and promotional focus.
8. Strategic product bundling and discount optimization present opportunities to increase **Average Order Value (AOV)** and improve overall profitability.
9. Conclusion
10. TastyBites has a strong profitability foundation, driven primarily by the Meals category and high-performing products such as **Rice Bowl, Pasta, Coffee, and Combo Meal**. However, excessive discounting on products like **Burger and Fries** is reducing overall profit potential. By optimizing discounts, focusing promotions on high-margin products, and implementing strategic pricing and bundling initiatives, TastyBites can further improve profitability while maintaining customer satisfaction and business growth.

Conclusion

TastyBites has a strong profitability foundation, driven primarily by the Meals category and high-performing products such as **Rice Bowl, Pasta, Coffee,** and **Combo Meal**. However, excessive discounting on products like Burger and Fries is reducing overall profit potential. By optimizing discounts, focusing promotions on high-margin products, and implementing strategic pricing and bundling initiatives, TastyBites can further improve profitability while maintaining customer satisfaction and business growth.
